OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

The "44 per cent rate rise" claim, and a request the record be corrected

Sent 26 August 2026 · To Cr Denise Kemp, Cr Wilkins, Brett Steele, Cr Proudfoot, Cr Casmiri, Shoalhaven City Council · Response requested by 16 September 2026

EYE ON SHOALHAVEN COUNCIL
steveprothero.substack.com

26 August 2026
Cr Peter Wilkins, Deputy Mayor
Cr Brett Steele
Cr Bob Proudfoot
Cr Luciano Casmiri
Cr Karlee Dunn
Cr Denise Kemp

By email. Mayor Patricia White is not a recipient of this letter. She is on an approved leave of absence and I do not intend to correspond with her while she is away.

Dear Councillors
I write in the knowledge that correspondence from this publication has, in recent months, been declined on the basis of guidance relating to unreasonable conduct. I note, for the record, that the application of that guidance to a public interest publication with more than 4,717 local readers is itself a matter currently before the NSW Ombudsman. The questions in this letter are not personal complaints.

They are questions of public administration, put openly, on behalf of a readership that represents approximately 5.1 per cent of Shoalhaven's registered voters. They are questions any member of the public could put at an ordinary council meeting.

I put them here, in writing, on the public record — and will publish whatever response is received, including none.

Open letter: the "44 per cent rate rise" claim, and a request that the record be corrected

Summary
At the ordinary meeting of 25 August 2026 the chamber was told that the previous council put in a 44 per cent rate rise. The minutes say otherwise, and they are unambiguous. A staged Special Rate Variation option compounding to 44.0 per cent was moved at item CL24.20 on 29 January 2024 and LOST, three votes to ten. A smaller staged option was also LOST. On 30 January 2024, by MIN24.44, Council resolved not to submit any application to IPART, twelve votes to one. Rates rose by the peg alone. The only above-peg increase

Shoalhaven ratepayers have ever paid is the permanent 12 per cent resolved by this Council on 17 December 2024 at MIN24.691 — moved by Cr Proudfoot, seconded by Cr Casmiri. I am asking that the record be corrected in the chamber.

1. What was said on 25 August 2026

During debate on CL26.187, the rescission motion concerning the proposed sale of Council land, Cr Kemp said words to the following effect:

"Do you forget the last council's 44 per cent rate rise and the biggest protest in the history of council?"

"I saw … Councillor Norris … that there was no 44 per cent. Well, you just have to look on the WIN TV and it's all there. So … about the misinformation, there's a classic example of misinformation. It was a 44 per cent rate rise that went to the last council and the people power knocked it down."

"I have proof if needed."
"… more than 7,000 signatures in a few weeks then, and Labor had signed off on the proposal of that rate rise to go ahead."

A point of order was taken on the ground that the facts as stated were incorrect and brought the Council into disrepute, and the chamber was told in reply that no 44 per cent rate rise had been put to the community. Cr Wilkins, chairing, declined to rule:

"There have been some curious facts raised tonight that I've let go through to the Keeper and this is in dispute. Councillor Kemp believes she has evidence, you believe you do. I'm not ruling on the point of order."

A further assertion was made in the same exchange — that "it was the AEC report, it was a 44 per cent … it's not an alternative fact, it's the fact." I have not been able to attribute that line to a particular speaker from the recording I hold, and I do not attribute it to any of you.

These quotations are taken from a machine transcript of the webcast. The webcast is the authoritative record. If any word above is wrong, tell me and I will correct it publicly and promptly. That is the courtesy I am asking of you in return.

1. The minutes

Every proposition below is drawn from Council's own confirmed minutes. I have given the minute number for each so that any of you can check it against the record yourselves.

(a) The consultation — MIN23.667, 20 November 2023
Council resolved to undertake community consultation on three options for a possible

Special Rate Variation. That resolution is cited in the report and in every subsequent motion at CL24.20.

(b) The staff recommendation — CL24.20, 29 January 2024 (HPERM D23/523500)
Staff recommended that Council "lodge an application with the Independent Pricing and Regulatory Tribunal for a Special Variation as outlined in Option 1 in the Long Term Financial Plan, namely a one-off permanent 32%, including rate peg, increase in total rates." That recommendation was never adopted.

(c) The "44 per cent" motion — MOTION (Clr Christen / Clr D'Ath), CL24.20, 29 January 2024 — LOST
The motion was that Council lodge an application for a Special Rate Variation as outlined in "Forecast – Scenario Three - Enhanced Asset Investment – Three (3) Years SRV" in the Long Term Financial Plan, namely 18% (including rate-peg) in 2024/25, 13% (including rate peg) in 2025/26, and 8% (including rate peg) in 2026/27.

Compounded — 1.18 × 1.13 × 1.08 — that is 1.4400, or 44.0 per cent. That arithmetic is the entire origin of the figure. The minutes record the division:

FOR: Clr Findley, Clr D'Ath and Clr Christen.

AGAINST: Clr Boyd, Clr Norris, Clr Kotlash, Clr Copley, Clr Ell, Clr White, Clr Wells, Clr Watson, Clr Kitchener and Clr Gray.

LOST.

Three votes to ten. Among the ten who voted it down were Cr Patricia White — the current Mayor — and Cr Matthew Norris and Cr Gillian Boyd, who sit in the chamber with you today.

(d) The alternative — FORESHADOWED MOTION (Clr Wells / Clr White), 29 January 2024 — LOST
A four-year variation of 8% (2024/25), then 6%, 6% and 6%, each including the rate peg, together with seventeen financial-discipline measures.

FOR: Clr Boyd, Clr Norris, Clr Kotlash, Clr White, Clr Wells and Clr Watson.

AGAINST: Clr Findley, Clr D'Ath, Clr Copley, Clr Ell, Clr Christen, Clr Kitchener and Clr Gray.

LOST.

(e) The adjournment and reintroduction — MIN24.42 and MIN24.43
MIN24.42 adjourned the meeting to 5.30pm, Tuesday 30 January 2024 for CL24.20 and CL24.21. MIN24.43 reintroduced CL24.20 for further discussion.

(f) The decision — MIN24.44, 30 January 2024 — CARRIED
This is the resolution that settles the question. Part 1 reads, in full:

"Council not submit an application for a Special Rate Variation (SRV) to the Independent Pricing and Regulatory Tribunal (IPART) at this time."

The remaining sixteen parts are financial-discipline measures drawn from the AEC Group report Financial Sustainability Review, November 2023. The division was:

FOR: Clr Findley, Clr D'Ath, Clr Boyd, Clr Norris, Clr Kotlash, Clr Ell, Clr Christen, Clr White, Clr Wells, Clr Watson, Clr Kitchener and Clr Gray.

AGAINST: Clr Copley.

CARRIED.

Twelve votes to one. These minutes were confirmed by that Council on Monday 12 February 2024 and have stood, unchallenged, ever since.

The consequence: no application was lodged, no variation was granted, and rates for 2024–25 rose by the rate peg — 4.5 per cent — and by nothing else. Not one dollar of the 44 per cent was ever levied on a rates notice.

IPART records the same thing in its Final Report on Shoalhaven City Council's Special Variation Application for 2025-26, May 2025:

"in January 2024, Shoalhaven City Council resolved not to proceed with an application to IPART for a proposed SV."

1. What your Council did — MIN24.691, 17 December 2024

MIN24.591, 5 November 2024, resolved to consult the community on three options: no variation above the 3.8 per cent rate peg; 8 per cent including the peg; or 12 per cent including the peg.

At item CL24.403 on 17 December 2024 (HPERM D24/529678), MIN24.691 resolved, on the motion of Cr Proudfoot seconded by Cr Casmiri, that Council:

"Lodge an application with the Independent Pricing and Regulatory Tribunal for a Special Variation as outlined in Option 3 in the Long Term Financial Plan, namely a one-off permanent 12%, including rate peg, increase in total rates."

FOR: Clr White, Clr Casmiri, Clr Dunn, Clr Wilkins, Clr Proudfoot, Clr Tribe, Clr Norris, Clr Boyd, Clr Johnston and Clr Krikstolaitis.

AGAINST: Clr Clancy, Clr Kemp and Clr Cox.

CARRIED.

IPART approved that application on 16 May 2025: a permanent 12 per cent increase in general income for 2025-26, effective 1 July 2025, worth an additional $11,283,500 a year, built permanently into the rate base.

I record the position of each of you accurately. Cr Wilkins, Cr Proudfoot, Cr Casmiri and Cr Dunn are recorded in favour of MIN24.691, and Cr Proudfoot moved it. Cr Kemp is recorded against it and is entitled to say so. Cr Steele was not a member of the Council on that date.
So the position is this. The previous council considered an increase compounding to 44 per cent, voted it down three to ten, and resolved twelve to one to impose nothing above the peg.
This Council was offered 8 per cent and 12 per cent, chose 12, applied for it, obtained it, and levied it. It is the only above-peg rate increase Shoalhaven ratepayers have actually paid.

1. Why the claim is misleading at best

"The last council's 44 per cent rate rise", and the related formulation that the Greens or Labor "instituted" a 44 per cent rate rise, are not statements about a proposal that was defeated. Both assert that a rate rise existed and was imposed. Against MIN24.44 neither is sustainable.

It was never adopted,
never lodged,
never approved and never charged.

The claim that "Labor had signed off on the proposal of that rate rise to go ahead" does not survive the division at CL24.20 either. The councillors that formulation would identify — Cr Boyd, Cr Norris, Cr Kotlash — are recorded voting against the 18/13/8 motion and in favour of the smaller one.

I will be even-handed about the other side of this argument, because it is also loose. Saying flatly that "there was no 44 per cent" understates the record: a motion whose compounded effect was 44.0 per cent was moved in this chamber and three councillors voted for it. The accurate statement sits between the two, and it is not a hard one to make: a staged variation compounding to about 44 per cent was proposed and rejected; nothing above the rate peg was imposed.

1. A caution about privilege

This is not legal advice and I am not a lawyer. It is a caution, offered because the point is commonly misunderstood in council chambers, and because each of you would be well advised to obtain your own advice on it.

Absolute privilege — the protection that attaches to what is said in Parliament — does not extend to what is said at a meeting of a local council, whether the meeting is open or closed. Published legal commentary in this area is consistent on the point. What is available to a councillor speaking in the chamber is qualified privilege, founded on the duty of an elected member to speak freely on matters of public interest.

Qualified privilege is not unconditional. It may be defeated by malice, and the indicia of malice recognised in the authorities include knowledge that the material is false, absence of belief in its truth, and failure to make enquiries as to its truth. Section 731 of the Local Government Act 1993 likewise protects a councillor only where the thing done was done in good faith.

That is why this letter matters more than the ordinary correction of a number. Once a councillor has been given the minute numbers, the division lists and IPART's determination, a further repetition of the claim can no longer be said to have been made without the means of checking it. You now have all three.

And the claim is directed at identifiable people. To say that the previous council "put in" or "instituted" a 44 per cent rate rise is capable of conveying, of every member of that council, that they attempted to impose that increase on ratepayers. Ten of the thirteen are recorded voting it down at CL24.20, and twelve of the thirteen are recorded at MIN24.44 resolving to lodge nothing at all. Former Cr Tonia Gray voted against it. Cr Gillian Boyd and Cr Matthew Norris, who sit with you, voted against it. Mayor White voted against it. Whether any of them regards the imputation as damaging, and what they choose to do about it, is a matter for them and their own advisers. It is not a risk I would want a colleague of mine carrying unnecessarily, which is why I am putting it to you in writing rather than only in print.

1. What I am asking

Not an apology, and not a retreat from anybody's political position on rates. Simply that the record be corrected in the same forum in which it was stated — the chamber, on the webcast — and that the corrected form of words be used from here on.

A form of words that is accurate, and that costs nobody anything politically:

"In late 2023 the previous council consulted on Special Rate Variation options, including a staged option compounding to about 44 per cent. That motion was lost at CL24.20 on 29 January 2024, three votes to ten. So was the alternative. By MIN24.44 on 30 January 2024, Council resolved twelve votes to one not to lodge any application with IPART, and rates rose by the peg alone. This Council resolved by MIN24.691 on 17 December 2024 to seek a permanent 12 per cent variation, which IPART approved."

1. Questions

I would be grateful for a response to each of the following, from each of you individually.

1. Having seen MIN24.44, do you accept that no Special Rate Variation was lodged by the previous council, that no increase above the rate peg was levied as a result of the 2023–24 process, and that the 44 per cent figure describes a motion that was lost rather than a decision that was made?

1. Have you yourself — in the chamber, in media interviews, in printed material or on social media — stated or implied that the previous council put in, instituted or imposed a 44 per cent rate rise? If so, when and where?

1. Will you correct the record in the chamber at the next ordinary meeting?

1. Cr Wilkins: as chairperson on 25 August you declined to rule on a point of order going to the accuracy of a statement of fact, on the basis that the matter was "in dispute". The minutes are not in dispute. What steps will you now take as chair to ensure the correct position is placed on the record?

1. Cr Proudfoot and Cr Casmiri: you moved and seconded MIN24.691. Do you accept that the permanent 12 per cent effective 1 July 2025, worth $11,283,500 a year, is the only above-peg rate increase Shoalhaven ratepayers have actually paid?

1. Does this Council presently intend to seek any further Special Rate Variation during this term? A councillor speaking in the same debate on 25 August foreshadowed one that "could be 20 per cent a year for four years". Is that a live proposition?

Documents relied on

- Minutes of the Ordinary Meeting of 29 January 2024 (adjourned to 30 January 2024), item CL24.20 and MIN24.42, MIN24.43, MIN24.44 — confirmed 12 February 2024.
- Council resolution MIN23.667 of 20 November 2023 (community consultation, three SRV options).
- Minutes of the Ordinary Meeting of 17 December 2024, item CL24.403 and MIN24.691 — confirmed 21 January 2025; and MIN24.591 of 5 November 2024.
- AEC Group, Financial Sustainability Review, November 2023.
- IPART, Final Report — Shoalhaven City Council Special Variation Application for 2025-26, May 2025; IPART media release, 16 May 2025.
- Shoalhaven City Council, Draft Delivery Program, Operational Plan and Budget 2026-27, FAQs.
- Webcast of the Ordinary Meeting, 25 August 2026, item CL26.187.

I will publish this letter and any response to it. If there is no response, I will publish that as well, without commentary beyond the fact of it.

Yours sincerely

Stephen Prothero

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